

Summary for chapter 4 part 1:

B2B E-Commerce

1. Business-to-business e-commerce (B2B EC):

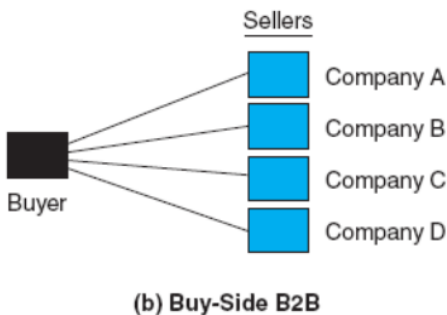
- ✓ **B2B EC:** Transactions between businesses conducted electronically over the Internet, extranets, intranets, or private networks.
- ✓ يقصد بها التعاملات التي تتم بين الشركات من خلال الانترنت او الاكسترنات او الشبكات الخاصة.
- ✓ also known as eB2B (electronic B2B) or just B2B.

2. The basic types of b2b transactions and activities:

- 1) Sell-side (one-to- many)
- 2) Buy-side (many-to- one)
- 3) Exchanges (many -to- many)
- 4) Supply chain improvements and collaborative commerce

✓ What is company-centric EC?

- E-commerce that focuses on a single company's buying needs or selling needs.

1- <u>Buy-side (many-to- one)</u>	2- <u>Sell-side (one-to- many)</u>
Companies focus on a single company's buying needs.	Companies focus on a single company's selling needs
 (b) Buy-Side B2B	 (a) Sell-Side B2B
Both buy-side and sell-side are private E-marketplace.	

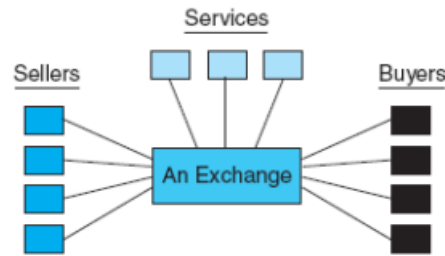
3) Exchanges (many -to- many):

a. exchanges (trading communities or trading exchanges)

Many-to-many e-marketplaces, usually owned and run by a third party or a consortium, in which many buyers and many sellers meet electronically to trade with each other.

b. public e-marketplaces

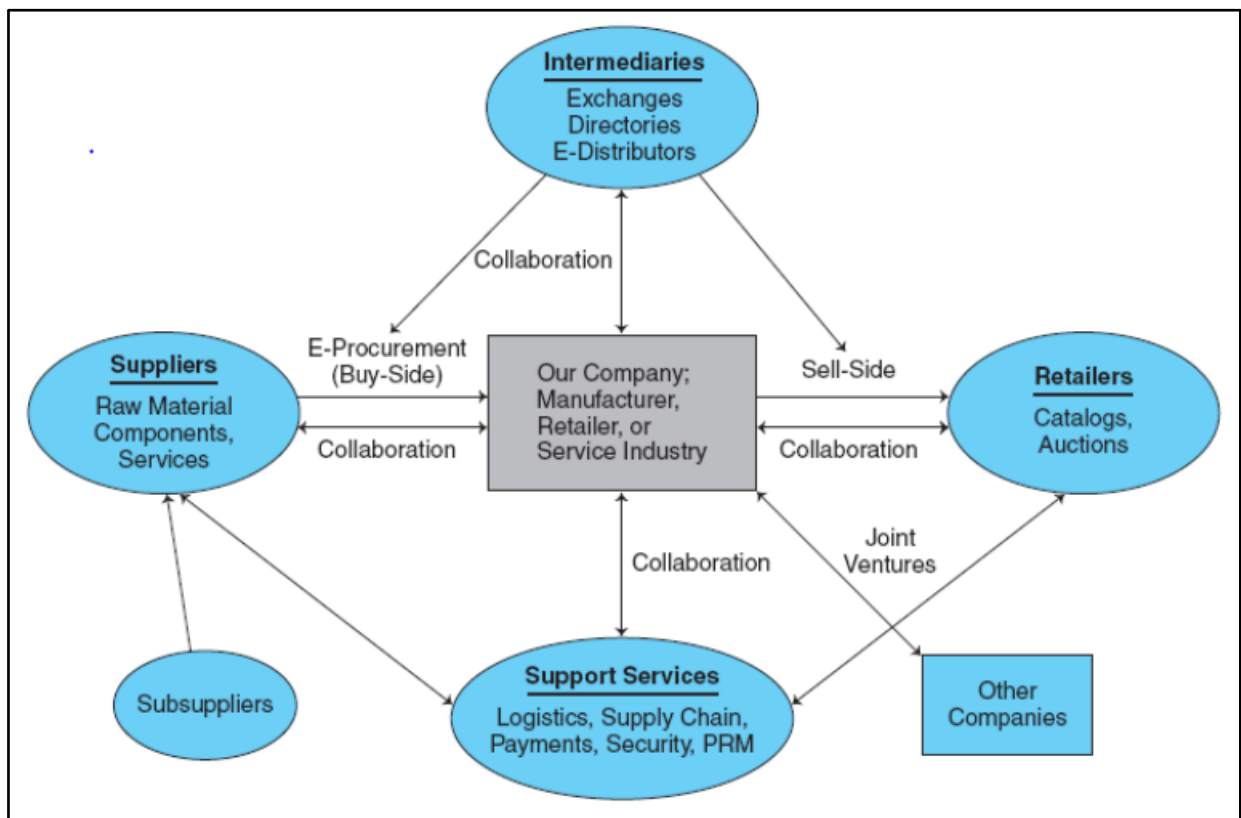
Third-party exchanges open to all interested parties (sellers and buyers)



4) Supply Chain Improvers and Collaborative Commerce



3. The components of B2B



4. B2B characteristics:

1) Parties to the Transaction: Sellers, Buyers, and Intermediaries

- **online intermediary:** An online **third party** that brokers a transaction online between a buyer and a seller; may be virtual or click-mortar

2) Types of B2B Transactions: How Do Firms Buy?

spot buying	strategic (systematic) sourcing
The purchase of goods and services as they are needed, usually <u>at prevailing market prices</u> .	Purchases involving <u>long-term contracts</u> that usually are based on private <u>negotiations</u> between sellers and buyers.
الشراء عند الحاجة بناء على الاسعار السائدة في السوق	الشراء بناء على عقود طويلة الاجل وبناء على مفاوضات بين البائعين والمشتريين

3) Types of Materials Traded: What Do Firms Buy?

direct materials	indirect materials	MRO
Materials used in the production of a product (e.g., steel in a car or paper in a book).	Materials used to support production (e.g., office supplies or light bulbs) .	Indirect materials used in activities that support Production.

4) The Direction of the Trades

vertical marketplaces	horizontal marketplaces
Markets that deal with <u>one industry</u> or industry segment (e.g., steel, chemicals).	Markets that concentrate <u>on a service, material, or a product that is used in all types of industries</u> (e.g., office supplies, PCs)
التركيز سيكون علي صناعة واحدة مثل توريد الكماويات لتصنيع الاسمدة.	التركيز سيكون علي سلعة أو خدمة في العديد من الصناعة.

5. partner and supplier relationship management:

partner relationship management (PRM)	supplier relationship management (SRM)
Business strategy that focuses on providing <u>comprehensive quality service to business partners</u> .	A comprehensive approach to <u>managing an enterprise's interactions with the organizations that supply the goods and services it uses</u> .

6. Sell-Side E-Marketplaces (One-to-Many):

There are many ways to achieve sell side E-marketplace

1) sales from catalogs: storefront

- such as Dell, Intel, IBM, and Cisco
- Customization and Self-Configuration

2) comprehensive sell-side systems)

3) Selling Via Distributors and Other Intermediaries

- a. **Manufacturers** can sell directly to businesses, and they do so if the customers are large buyers.
- b. Frequently they use **intermediaries to distribute their products** to a large number of smaller buyers.
- c. **The intermediaries buy products from many manufacturers and aggregate them into one catalog** from which they sell to customers or to retailers

4) Selling Via E-Auctions

- a. using auctions on the sell side
 - revenue generation
 - cost savings
 - increased “stickiness” is a characteristic that measures customer loyalty to a site that eventually results in higher revenue.
 - member acquisition and retention: registered members of auctions can invite their business contacts
- b. **auctioning from the company’s own site.**
- c. **using intermediaries in auctions.**
- d. examples of b2b forward auctions.

Put true or false

- 1) B2B e-commerce refers to transactions between businesses that are conducted electronically over the public Internet only.
 - False: Transactions between businesses conducted electronically over the Internet, extranets, intranets, or private networks.
- 2) The availability of a secure broadband Internet platform is one of the key drivers of B2B EC.
 - True
- 3) B2B EC marketplaces that involve one seller selling to many buyers is called an exchange.
 - False: sell-side A Web-based marketplace in which one company sells to many business buyers from e-catalogs or auctions, frequently over an extranet.
- 4) In one-to-many and many-to-one marketplaces, if all selling is done by one company, it is a buy-side market.
 - False: sell-side
- 5) In company-centric marketplaces, the individual company has very little control over who participates in selling or buying transactions.
 - False: In company-centric marketplaces, the company has complete control over all transactions and supporting information systems
- 6) E-marketplace exchanges are usually owned and run by a third party or by a consortium.
 - true
- 7) intermediaries in B2B commerce that broker transactions between buyers and sellers are third parties that are either virtual or brick-and-mortar.
 - true
- 8) Spot buying refers to the purchasing of goods and services according to a schedule, usually
- 9) at prevailing market prices that are determined by supply and demand.
 - False: as needed
- 10) Strategic sourcing refers to purchasing involving long-term contracts that usually are based on private negotiations between sellers and buyers.
 - true
- 11) Computers and communication devices are two examples of direct materials for a food processing company
 - False: indirect materials
- 12) MRO, which stands for "maintenance, repair, and operation," refers to the indirect materials used in activities that support production.
 - true
- 13) Horizontal marketplaces are markets that concentrate on a service, material, or a product that is used in all types of industries.
 - True

Choice:

- 1) Key business drivers for B2B include each of the following except
- a. the availability of a secure broadband Internet platform.
 - b. the ability to reduce delays.
 - c. the willingness of companies to incur higher costs to improve collaboration.
 - d. the need for collaborations between suppliers and buyers.

Answer: c

- 2) E-commerce that focuses on a single company's buying needs or selling needs best defines
- A) computer exchange.
 - B) business-to-business e-commerce.
 - C) private marketplace.
 - D) company-centric EC.

Answer: D

- 3) Many-to-many e-marketplaces, usually owned and run by a third party or a consortium, in which many buyers and many sellers meet electronically to trade with each other best describes
- A) exchanges.
 - B) public market.
 - C) company-centric EC.
 - D) spot purchases.

Answer: A

- 4) An online third party that brokers a transaction online between a buyer and a seller best describes
- A) strategic source.
 - B) horizontal marketplace.
 - C) vertical marketplace.
 - D) online intermediary.

Answer: D

- 5)) Types of B2B transactions include
- A) strategic sourcing.
 - B) randomized buying.
 - C) intermediation.
 - D) reverse purchasing.

Answer: A

- 6)) The purchase of goods and services as they are needed, usually at prevailing market prices, best defines
- A) direct materials.
 - B) consolidation.
 - C) spot buying.
 - D) strategic sourcing.

Answer: C

- 7) Purchases of goods and services based on long-term contracts best defines
- A) direct materials.
 - B) consolidation.
 - C) spot buying.
 - D) strategic sourcing.

Answer: D

- 8) Which of the following can be supported more effectively and efficiently through direct buyer-seller negotiations?

- ☒ A) strategic sourcing
- B) spot buying
- C) B2C e-commerce

D) MRO

Answer: A

9) Materials used in the production of a product best defines

A) indirect materials.

B) direct materials.

C) MRO materials.

D) production materials.

Answer: B

10) Two types of materials and supplies that are traded in B2B are

A) digital and physical.

B) direct and indirect.

C) horizontal and vertical.

D) commodities and nonproduction.

Answer: B

11) Materials used to support production are called

A) indirect materials.

B) operational materials.

C) direct materials.

D) virtual materials.

Answer: A

12) The major B2B service industries include each of the following except

A) travel and hospitality services.

B) financial services.

C) banking and online financing.

D) retail.

Answer: D

13) Which of the following is not one of the major benefits of B2B for both buyers and sellers?

A) expedites processing and reduces cycle time

B) reduces procurement costs

C) enables customized online catalogs with different prices for different customers

D) increases opportunities for collaboration

Answer: B

14) A business strategy that focuses on providing comprehensive quality service to business partners best define

A) customer relationship management.

B) supplier relationship management.

C) partner relationship management.

D) supply chain management.

Answer: C

15) A comprehensive approach to managing an enterprise's interactions with the organizations that supply the goods and services it uses best defines

A) customer relationship management.

B) supply chain management.

C) partnership relationship management.

D) supplier relationship management.

Answer: D

16) A Web-based marketplace in which one company sells to many business buyers from e catalogs or auctions, frequently over an extranet, describes

A) sell-side e-commerce.

B) single-side e-commerce.

C) buy-side e-commerce.

D) reflective e-commerce.

Answer: A

~~17)~~ Companies use _____ to sell their unneeded assets for quick disposal or to dispose of excess, obsolete, and returned products.

A) private auctions

B) liquidation

C) reverse auctions

☒ D) forward auctions

Answer: D

~~18)~~ A characteristic that describes customer loyalty to a site that eventually results in higher revenue best defines

A) retention.

B) acquisition.

~~C)~~ stickiness.

D) attachment.

Answer: C